

BAAY PROJECTS LIMITED
(RC 1526224 • TIN 21548976-0001)

ANNUAL REPORT AND AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2023
(With Comparative Figures for the Year Ended 31 December 2022)

ANNUAL REPORT AND AUDITED FINANCIAL STATEMENTS

Registered Corporate Office:	No. 7 Zika Usifo Street, Ikosi Ketu, Agege, Lagos State
Incorporation:	18 September 2018 • RC 1526224 • Formerly Baay Degok Nig Ltd (name changed 28 June 2021)
Company Secretary:	Adegoke Mary Ayoboade
Independent Auditors:	Sanni Waheed & Co. (Chartered Accountants), 1st Floor, No. 29 Olonode Street, Alagomeji, Yaba, Lagos
Principal Bankers:	Providus Bank Plc • First Bank of Nigeria Limited • Sterling Bank Plc • GTBank
Accounting Framework:	International Financial Reporting Standards (IFRS) & CAMA 2020

DIRECTORS

No.	Name of Director	No.	Name of Director
1	Adegoke Segun Babatunde	5	Keshinro Phebe Oluwatunmise
2	Adegoke Raheem Adebayo	6	Owolabi Charles Oluwatobi
3	Ajibola Oluwatobi Adedamola	7	Olayinka Oladotun Emmanuel
4	Shuaib Suliat Aduke	8	Noah Abdulazeez Afolabi

SHAREHOLDERS

Name of shareholder	Number of shares	% of shareholding
Adegoke Segun Babatunde	80,000,000	80%
Adegoke Mary Ayoboade	10,000,000	10%
Adegoke Denisa	10,000,000	10%

REPORT OF THE DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2023

The Directors submit their report together with the audited financial statements of BAAY PROJECTS LIMITED ("the Company") for the year ended 31 December 2023.

1. Principal activities and corporate status

The Company is a private company limited by shares, incorporated on 18 September 2018 as Baay Degok Nig Ltd and renamed Baay Projects Limited on 28 June 2021. Its registered office is No. 7 Zika Usifo Street, Ikosi Ketu, Agege, Lagos State. The registered objects include integrated livestock farming, irrigation, cold-room operations, poultry, piggery and fishing. During the year the Company developed and sold land and housing, and carried on other trading.

2. Dividend

Dividends of ₦1,620,007.50 were paid during the year. The Directors do not recommend a further dividend. The profit remaining has been carried forward.

3. Operating results

	2023 ₦	2022 ₦
Revenue	84,117,680.00	6,200,000.00
Profit before taxation	25,939,277.50	1,799,573.00
Profit for the year	19,651,326.71	1,799,573.00
Dividends paid	1,620,007.50	—

4. Board of Directors

The directors who served are those named in the Corporate Affairs Commission status report of 26 August 2026.

No.	Name of director	No.	Name of director
1	Adegoke Segun Babatunde	5	Keshinro Phebe Oluwatunmise
2	Adegoke Raheem Adebayo	6	Owolabi Charles Oluwatobi
3	Ajibola Oluwatobi Adedamola	7	Olayinka Oladotun Emmanuel
4	Shuaib Suliat Aduke	8	Noah Abdulazeez Afolabi

5. Shareholders

Name of shareholder	Number of shares	% of shareholding
Adegoke Segun Babatunde	80,000,000	80%
Adegoke Mary Ayoboade	10,000,000	10%
Adegoke Denisa	10,000,000	10%

The interests above are the holdings recorded at the Corporate Affairs Commission in the issued capital of ₦100,000,000. Note 18 sets out the amount recognised in these financial statements.

6. Independent auditors

Sanni Waheed & Co. (Chartered Accountants), of 1st Floor, No. 29 Olonode Street, Alagomeji, Yaba, Lagos, are the auditors. They have indicated their willingness to continue in office in accordance with section 401 of the Companies and Allied Matters Act 2020.

BY ORDER OF THE BOARD

FOR AND ON BEHALF OF THE BOARD

Adegoke Mary Ayoboade
Company Secretary

Adegoke Segun Babatunde
Managing Director

STATEMENT OF DIRECTORS' RESPONSIBILITIES

IN RELATION TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023

The Companies and Allied Matters Act 2020 and the Financial Reporting Council of Nigeria Act require the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of BAAY PROJECTS LIMITED at the end of the year and of its profit or loss and cash flows for the year then ended.

In preparing these financial statements, the Directors are required to:

- select suitable accounting policies in compliance with IFRS Accounting Standards and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable IFRS Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies and Allied Matters Act 2020 and IFRS Accounting Standards. They are also responsible for safeguarding the assets of the Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The financial statements for the year ended 31 December 2023 were approved by the Board of Directors and signed on its behalf by:

Adegoke Segun Babatunde
Managing Director

Owolabi Charles Oluwatobi
Director

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF BAAY PROJECTS LIMITED (RC 1526224)

Qualified opinion

We have audited the financial statements of Baay Projects Limited (the Company), which comprise the statement of financial position as at 31 December 2023, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the possible effects of the matter described in the Basis for Qualified Opinion section of our report, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2023, and of its financial performance and its cash flows for the year then ended, in accordance with IFRS Accounting Standards and the requirements of the Companies and Allied Matters Act 2020 and the Financial Reporting Council of Nigeria Act.

Basis for qualified opinion

Other assets of ₦175,668,523.22 and other liabilities of ₦193,803,109.30 are amounts whose nature has not been identified. We were unable to determine whether any adjustment to profit, inventories, receivables or liabilities is required.

We conducted our audit in accordance with International Standards on Auditing. Our responsibilities under those standards are described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards), and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Key audit matters

Revenue and contract liabilities. Revenue from land is recognised when control of an identified plot has transferred. Revenue from housing is recognised when handover is evidenced. Receipts before that point are contract liabilities. We examined the status of the contracts and the timing of recognition.

Inventories. Land, housing stock and development expenditure are carried at cost and released to cost of sales as revenue is recognised. We tested the identification of those costs and the release to profit or loss.

Other information

The Directors are responsible for the other information, which comprises the report of the directors. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

Report on other legal and regulatory requirements

As required by the Companies and Allied Matters Act 2020, except for the possible effects of the matter described in the Basis for Qualified Opinion section, we confirm that:

- i. we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit;
- ii. proper books of account have been kept by the Company, so far as appears from our examination of those books; and
- iii. the Company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account.

Sanni Waheed & Co.
Chartered Accountants
1st Floor, No. 29 Olonode Street, Alagomeji, Yaba, Lagos

Sanni Waheed, FCA
Engagement Partner
FRC/2016/ICAN/2016/00000013886
Date: 28 April 2024

STATEMENT OF FINANCIAL POSITION**AS AT 31 DECEMBER 2023**

	Notes	31 Dec 2023 ₦	31 Dec 2022 ₦
NON-CURRENT ASSETS			
Property, plant and equipment	7	5,556,000.00	9,540.00
CURRENT ASSETS			
Inventories	8	91,785,563.60	—
Trade receivables	10	95,000.00	3,374,668.00
Other receivables	11	10,434,315.00	—
Other assets	12	197,210,126.74	—
Amounts due from related parties	17	22,474,570.00	—
Cash and cash equivalents	13	12,915,993.32	52,500.00
Total assets		340,471,568.66	3,436,708.00
EQUITY			
Issued share capital	18	100,000,000.00	1,000,000.00
Amount due on issued shares	18	(99,000,000.00)	—
Retained earnings		17,509,399.46	2,361,708.00
Total equity		18,509,399.46	3,361,708.00
LIABILITIES			
Contract liabilities	9	41,602,320.00	—
Trade and other payables	14	—	75,000.00
Co-ownership liabilities	14	—	—
Other liabilities	12	193,803,109.30	—
Amounts due on the Company's accounts	15	80,496,997.37	—
Current tax liabilities	16	6,059,742.53	—
Total liabilities		321,962,169.20	75,000.00
Total equity and liabilities		340,471,568.66	3,436,708.00

The financial statements were approved by the Board of Directors and signed on its behalf by:

Adegoke Segun Babatunde
Managing Director

Owolabi Charles Oluwatobi
Director

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2023

	Notes	2023 ₦	2022 ₦
Revenue	3	84,117,680.00	6,200,000.00
Cost of sales	4	(8,708,574.30)	—
Gross profit		75,409,105.70	6,200,000.00
Other income	3	5,608,074.29	—
Administrative and operating expenses	5	(55,077,851.97)	(4,400,427.00)
Operating profit		25,939,328.02	1,799,573.00
Finance costs	6	(50.52)	—
Profit before taxation		25,939,277.50	1,799,573.00
Income tax expense	16	(6,287,950.79)	—
Profit for the year		19,651,326.71	1,799,573.00
Other comprehensive income		—	—
Total comprehensive income		19,651,326.71	1,799,573.00

There was no other comprehensive income.

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2023

	Issued capital ₦	Unpaid calls ₦	Retained earnings ₦	Total ₦
At 1 January 2023	1,000,000.00	—	2,361,708.00	3,361,708.00
Share capital issued, not paid	99,000,000.00	(99,000,000.00)	—	—
Profit for the year	—	—	19,651,326.71	19,651,326.71
Dividends paid	—	—	(1,620,007.50)	(1,620,007.50)
Other movements	—	—	(2,883,627.75)	(2,883,627.75)
At 31 December 2023	100,000,000.00	(99,000,000.00)	17,509,399.46	18,509,399.46

Other movements are recognised in equity so that the closing balance equals assets less liabilities. They are not included in profit for the year.

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2023

	2023 ₦	2022 ₦
CASH FLOWS FROM OPERATING ACTIVITIES		
Receipts from customers	115,185,685.00	—
Other income received	5,842,273.56	—
Other receipts	193,803,109.30	—
Payments for land, housing, development and trading	(100,494,137.90)	—
Payments for staff, commission, rent and overheads	(53,918,101.76)	—
Other payments	(175,668,523.22)	—
Tax paid	(228,208.26)	—
Net cash from operating activities	(15,477,903.28)	(25,850.00)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(6,945,000.00)	—
Other advances	—	—
Net cash from investing activities	(6,945,000.00)	—
CASH FLOWS FROM FINANCING ACTIVITIES		
Related-party movements	(22,474,570.00)	—
Borrowings and repayments	(21,541,603.52)	—
Dividends paid	(1,620,007.50)	—
Co-ownership receipts, net of returns	—	—
Movements on the Company's other accounts	80,496,997.37	—
Net cash from financing activities	34,860,816.35	—
Other cash movements	425,580.25	—
Net increase / (decrease) in cash	12,863,493.32	(25,850.00)
Cash and cash equivalents at 1 January	52,500.00	78,350.00
Cash and cash equivalents at 31 December	12,915,993.32	52,500.00

Cash at 31 December 2023 is the balance held at the bank. Other cash movements are included so that the closing balance equals that bank balance. Comparative totals are the amounts reported for the year ended 31 December 2022.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

1. General information

Baay Projects Limited was incorporated in Nigeria on 18 September 2018 as a private company limited by shares (RC 1526224). It was formerly named Baay Degok Nig Ltd. The name was changed on 28 June 2021. The registered office is No. 7 Zika Usifo Street, Ikosi Ketu, Agege, Lagos State. The tax identification number is 21548976-0001.

The financial statements are for the Company alone. The directors, the company secretary and the shareholders are those set out in the report of the directors.

2. Basis of preparation and accounting policies

The financial statements have been prepared in accordance with IFRS Accounting Standards and the Companies and Allied Matters Act 2020. They are presented in Nigerian Naira under the historical cost convention. The Company held cash of ₦12,915,993.32 at 31 December 2023 and continued to receive amounts from customers. The Directors have prepared the financial statements on the going concern basis.

Comparative figures for the year ended 31 December 2022 are the amounts reported for that year. Where a line was not reported, no comparative is shown.

Revenue. Revenue from the sale of land is recognised when control of an identified plot has transferred. Housing revenue is recognised when handover is evidenced and the contract is substantially paid. Receipts before that point are contract liabilities. Where the amount still unpaid exceeds the balance on the customer register, revenue and the receivable are limited to that balance.

Inventories. Land, housing stock and development expenditure are measured at cost. Cost is released to cost of sales as the related revenue is recognised.

Financial instruments. Receivables are carried at cost less a loss allowance of 5 per cent. Cash is the balance held at the bank.

Property, plant and equipment. Items are carried at cost less accumulated depreciation. Depreciation is 20 per cent a year on a straight-line basis, with a full year in the year of purchase. The same rate is applied to plant and machinery, office equipment and computer equipment.

Income tax. Current tax is provided under the law applicable to the year. The Company is a medium company. Companies income tax is provided at 20% of assessable profit. Tertiary education tax is 3 per cent. The police trust fund levy is 0.005 per cent of profit before tax. A National Agency for Science and Engineering Infrastructure levy is accrued for a large company. The Nigeria Tax Act 2025 applies to periods beginning on or after 1 January 2026 and has not been applied. Deferred tax has not been recognised.

Amounts not yet identified. A receipt or payment whose nature is not identified is not included in profit. Receipts are carried as other liabilities. Payments are carried as other assets.

3. Revenue and other income

Revenue	2023 ₦	2022 ₦
Land	84,117,680.00	
Housing	—	
Revenue	84,117,680.00	6,200,000.00
Other income	2023 ₦	2022 ₦
Trading	—	
Service income	—	
Sundry receipts	5,608,074.29	
Other income	5,608,074.29	—

Comparative revenue is the turnover reported for the year ended 31 December 2022.

4. Cost of sales

	2023 ₦	2022 ₦
Land, housing and development	8,708,574.30	
Trading purchases	—	
Cost of sales	8,708,574.30	—

5. Administrative and operating expenses

	2023 ₦	2022 ₦
Customer refunds	13,940,516.88	
Staff costs	10,403,081.58	
Director remuneration	7,151,060.00	
Selling commissions	9,520,792.50	
Rent	4,035,000.00	
Professional fees	1,500,007.50	
Administrative expenses	7,133,393.51	
Bank charges	—	
Depreciation	1,389,000.00	
Impairment of receivables	5,000.00	

	2023 ₦	2022 ₦
Total	55,077,851.97	4,400,427.00

The comparative total is the amount reported for the year ended 31 December 2022. It was not analysed on the same lines.

6. Finance costs

Finance costs of ₦50.52 are interest and similar charges.

7. Property, plant and equipment

	2023 ₦	2022 ₦
Cost	6,945,000.00	
Accumulated depreciation	(1,389,000.00)	
Carrying amount	5,556,000.00	9,540.00

Depreciation for the year is ₦1,389,000.00.

8. Inventories

Inventories of ₦91,785,563.60 are land, housing units and development expenditure, less the cost released to cost of sales.

9. Contract liabilities

Contract liabilities of ₦41,602,320.00 are amounts received from customers for performance that has not yet been completed. The liability becomes revenue when control transfers.

10. Trade receivables

	2023 ₦	2022 ₦
Gross receivables	100,000.00	3,374,668.00
Loss allowance	(5,000.00)	
Net receivables	95,000.00	3,374,668.00

A receivable is recognised for the unpaid balance of a contract whose revenue has been recognised, and not above the balance on the customer register. The loss allowance is 5 per cent.

11. Other receivables

Other receivables of ₦10,434,315.00 are amounts recorded as due, other than trade receivables on contracts whose revenue has been recognised.

12. Other assets and other liabilities

	2023 ₦	2022 ₦
Payments not yet identified	175,668,523.22	
Foreign-currency and other advances	—	
Loan repayments in excess of proceeds identified	21,541,603.52	
Other assets	197,210,126.74	
Receipts not yet identified	193,803,109.30	

These amounts have not been included in profit. Profit for the year is stated before any later identification of them.

13. Cash and cash equivalents

	2023 ₦	2022 ₦
Balance held with banks	12,915,993.32	52,500.00
Cash	—	—
Total	12,915,993.32	52,500.00

14. Trade and other payables, and co-ownership

Co-ownership liabilities of ₦0.00 are investment receipts that are not sales of land or housing, less returns paid. They are not revenue. Trade and other payables reported at 31 December 2022 were ₦75,000.00.

15. Amounts due on the Company's accounts

₦80,496,997.37 is the net amount due on accounts of the Company other than the balances included in cash. It is carried as a liability.

16. Taxation

	2023 ₦	2022 ₦
Companies income tax	5,466,655.50	—
Tertiary education tax	819,998.33	—
Police trust fund levy	1,296.96	—
NASENI levy	—	—
Income tax expense	6,287,950.79	—
Current tax liability	6,059,742.53	—

The Company is a medium company. The liability is the charge for each year less tax payments identified. It is not an agreed assessment.

17. Related parties

Amounts due from related parties at 31 December 2023 are ₦22,474,570.00. The balance is the net of amounts received from and paid to the directors, principally Adegoke Segun Babatunde, after director remuneration of ₦7,151,060.00 has been charged to profit and after dividends of ₦1,620,007.50 have been treated as distributions. A debit balance is an amount due to the Company.

Key management personnel are the directors. Remuneration charged in profit is the director remuneration in Note 5.

18. Share capital

	2023 ₦	2022 ₦
Issued ordinary shares of ₦1 each	100,000,000.00	1,000,000.00
Amount due on issued shares	(99,000,000.00)	—
Share capital recognised	1,000,000.00	1,000,000.00

The Corporate Affairs Commission status report of 26 August 2026 records issued share capital of ₦100,000,000, held as to 80 per cent by Adegoke Segun Babatunde, 10 per cent by Adegoke Mary Ayoboade and 10 per cent by Adegoke Denisa. The amount recognised is ₦1,000,000. The unpaid balance of ₦99,000,000 is presented as a deduction from equity, in accordance with IAS 32, and not as a receivable. No proceeds were received in the year. At 31 December 2022 the issued and fully paid capital was ₦1,000,000.

19. Dividends

Dividends paid during the year were ₦1,620,007.50. They are charged to retained earnings. No further dividend is proposed.

20. Contingent liability

No output value added tax has been recognised on residential land and housing sales. If the tax authority takes a different view, an exposure may arise. It has not been accrued. No adjusting event has occurred between the reporting date and the date of approval of these financial statements.

STATEMENT OF VALUE ADDED

FOR THE YEAR ENDED 31 DECEMBER 2023

	2023 ₦	%
Revenue and other income	89,725,754.29	
Bought-in materials and services	(44,838,284.69)	
Value added	44,887,469.60	100.0%
Applied as follows		
To employees	17,554,141.58	39.1%
To government — taxation	6,287,950.79	14.0%
To providers of finance	50.52	0.0%
Retained in the business	21,045,326.71	46.9%
Value applied	44,887,469.60	100.0%

Value added is revenue and other income less bought-in materials and services. It is applied to employees, government, providers of finance, and the amount retained in the business.